

Alphabet Inc.

GOOGL NASDAQ

Buy	\$343.55 ▼ 0.07%	12M Price Target \$380.00	52-Week Range \$196.60 – \$408.61	Market Cap \$4.20T
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GOOGL: Antitrust Overhang Meets AI Momentum — Still A Buy

WHAT HAPPENED

- Stock is basically flat today (\$343.55, -0.07%) but yesterday's 3.8% drop from \$357 to \$343 is what actually matters — that's the market digesting something. Volume today is a tiny 4M shares (vs. 29M yesterday), meaning most of the action already happened and this is just settling. The 24/7 Wall St. piece framing Meta as "more dangerous than Alphabet" on AI dilution is actually a subtle positive for GOOGL — the narrative is shifting toward Alphabet being the more disciplined AI spender.
- Sergey Brin's "OTHER" transactions at \$0 aren't real sells — those are almost certainly gifts or trust transfers (charitable giving, estate planning). Ignore the "bearish" insider signal here; it's a data artifact.

WHY IT MATTERS

Yesterday's drop looks like profit-taking after a monster run (stock is at 69% of its 52-week range with a \$4.2T market cap — investors who bought at \$250 are sitting on huge gains and locking some in). The bigger story: GOOGL is now trading as an "AI winner" rather than a "Search stock under siege," and that re-rating still has room to run if Gemini keeps taking share. Options flow is telling — the put/call ratio at 0.91 with unusual CALL buying at \$290 and \$300 strikes suggests smart money sees this \$340s zone as a floor, not a ceiling. Watch for the stock to consolidate here before the next leg — the setup is constructive as long as it holds above \$335.

POLICY & POLITICAL WATCH

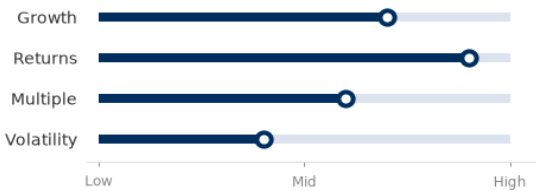
The elephant in the room is still the DOJ antitrust remedy phase — the government is pushing for structural remedies (potentially forcing Google to sell Chrome or unwind default search deals with Apple). If the final remedy is behavioral (rules about conduct) rather than structural (breakup), the stock likely gaps up 5-10% on relief. Separately, the Trump administration's executive orders on federal AI procurement have been broadly favorable to US hyperscalers — GOOGL Cloud is a direct beneficiary of the "American AI stack" push, and any expansion of federal AI spending flows to Google, Microsoft, and Amazon first. EU Digital Markets Act fines remain a nagging cost but are now priced in as a "tax" rather than an existential threat.

IS IT EXPENSIVE?

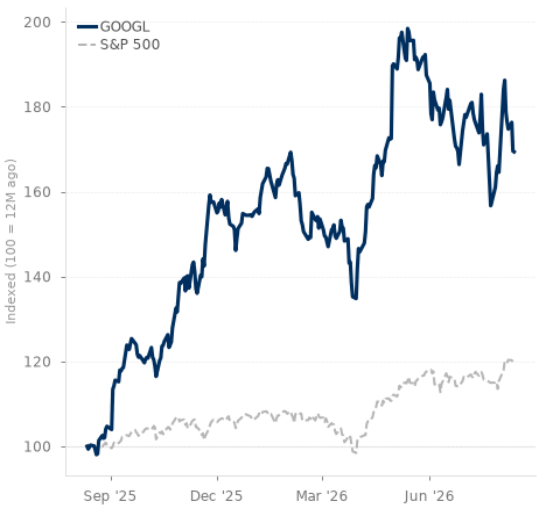
Key Data

Price (USD)	\$343.55
12M Price Target	\$380.00
Upside / (Downside)	+10.6%
Market Cap	\$4.20T
FY2026E Revenue	\$408M
FY2027E Revenue	\$462M
FY2026E EPS	\$9.85
FY2027E EPS	\$11.40
Fwd P/E	34.9x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$365.00	\$350.00	\$325.00
6 Months	\$400.00	\$370.00	\$300.00
1 Year	\$430.00	\$380.00	\$290.00
2 Years	\$500.00	\$425.00	\$280.00
5 Years	\$700.00	\$550.00	\$300.00
10 Years	\$1100.00	\$800.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+1.77% today, +1.87% over 5 days) is the clear leader — AI capex is still the dominant market theme, and every earnings print from CoreWeave, Broadcom, and the hyperscalers reinforces it. Energy is also running (+6% over 5 days) on AI power demand narrative.

COOLING OFF: Financials (-0.43% 5D) and Real Estate (-2.19% 5D) are lagging — rate cut expectations have been pushed out, which hurts rate-sensitive sectors.

ROTATION WATCH: Money is flowing from defensive/rate-sensitive names into AI infrastructure and the picks-and-shovels plays (Broadcom, CoreWeave) — that's a tailwind for GOOGL's cloud business, which sells the shovels.

RELATED PLAY: If you like the GOOGL thesis, the second-order winners are data center power (Vistra, Constellation) and networking chips (Broadcom, Arista) — they benefit whether GOOGL, MSFT, or META wins the AI race.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Winning on the "if AI wins, we win" thesis — they supply custom chips (including Google's TPUs) so they benefit from GOOGL's capex directly.
- MSFT (Microsoft): 54 analysts, all bullish per today's headlines — Copilot monetization and Azure AI growth keep beating expectations.

GOOGL CONTEXT: GOOGL is roughly in line with mega-cap AI peers but has lagged MSFT and META slightly over the past month due to antitrust overhang. That's actually the setup for a catch-up trade — same AI exposure, cheaper multiple, and a specific catalyst (DOJ resolution) that could close the gap.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 5-7% of portfolio

Entry Points: \$335-345 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: DOJ forces Chrome/Android divestiture OR cloud growth decelerates below 20%

Hedging: Small put spread on QQQ for broad AI/mega-cap exposure